

04 Sep 2026 15:44:21 ET | 19 pages

US Economics Weekly

Hikes remain unlikely, cuts delayed to next year

CITI'S TAKE

The rise in the unemployment rate we had forecast this year did not materialize and we now expect rate cuts to resume in June of next year with 25bp cuts in June, September and December. Core CPI projected at 0.18%MoM would have the Fed staying on hold at their September 16th meeting. Fundamentally, evidence is building that disinflation is proceeding with a third consecutive cooler reading likely next week. Core PCE inflation is also set to be revised down substantially on September 30th – which should lead to a dovish adjustment to the Fed's summary of economic projections (SEP).

Andrew Hollenhorst^{AC}

+1-212-816-0325

andrew.hollenhorst@citi.com

Veronica Clark^{AC}

+1-212-816-8830

veronica1.clark@citi.com

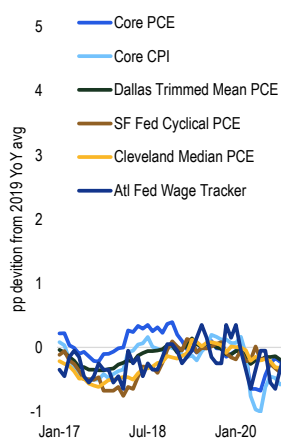
See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Click here to type Chapter Heading

Two elements played into our dovish Fed view this year. First, despite elevated core PCE inflation, we expected cooler trends in core CPI, wage growth and other “underlying inflation” metrics along with broad evidence that the US economy is not overheating to keep the Fed from hiking. That is still operative, and we expect the Fed to stay on hold next week.

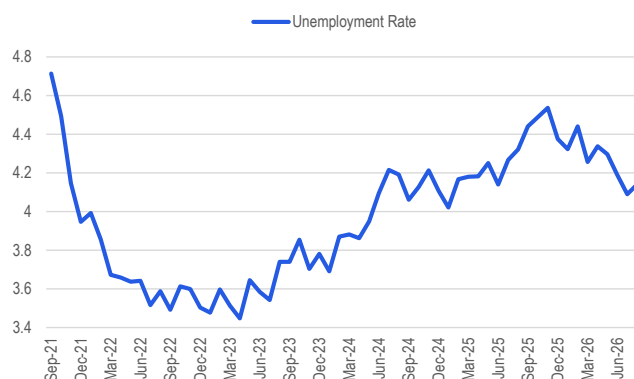
But the second element of our Fed view involved the unemployment rate rising significantly over the summer months as occurred in 2024 and 2025. That pattern has not repeated in 2026 meaning Fed officials will continue to see the labor market as “stable” and not be pushed to cut interest rates.

Figure 1. Underlying inflation has eased across most measures



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS, BEA

Figure 2. The unemployment rate did not rise as we expected



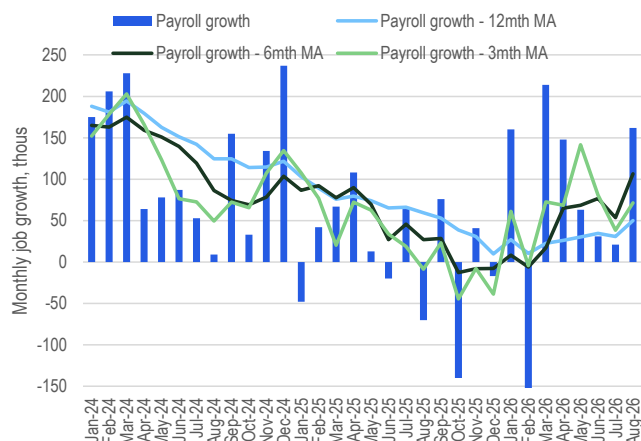
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

Our base case now moves to a scenario where Fed officials cut rates only once they are confident that inflation is sustainably reattaining 2%. That will take significantly more data and given potentially stronger inflation readings in January and February, we are penciling in the next Fed rate cut in June.

We do continue to see risks as skewed toward earlier rate cuts. The large decline in the labor force participation rate still creates risk of a rebound that would push the unemployment rate higher, creating more impetus to cut. A shift in AI-sentiment and associated sell-off in the equity market could also push Fed officials to cut more urgently.

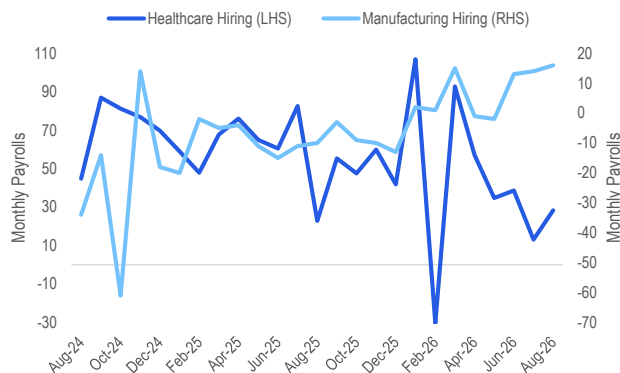
After two months of softer payroll growth and falling labor force participation, the August report will have reassured Fed officials that the labor market remains “stable.” 162k new jobs showed broad based strength with notable rebounds in leisure and hospitality and public education, categories that had been unexpectedly weak in recent months. Health care hiring has slowed from its rapid pace in recent years, but manufacturing hiring appears to have stably picked up to about 15k per month.

Figure 3. Payroll job growth strengthened in August



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

Figure 4. Healthcare hiring slowing and manufacturing hiring picking up

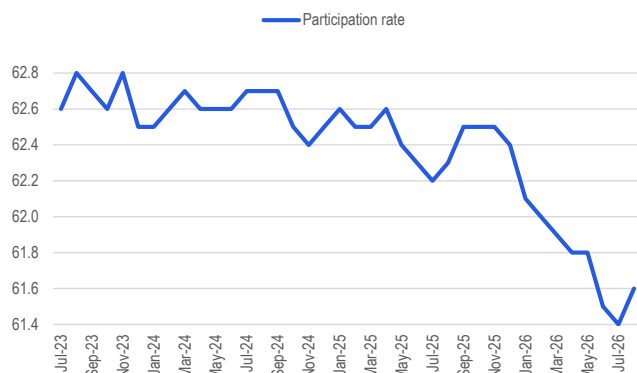


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

The most positive aspect of the report was that despite the labor force participation rate rising from 61.4% to 61.6%, the unemployment only nudged up from 4.090% to 4.141%. It is still the case that participation has declined by more than demographics or shifts in immigration can explain, but at least this monthly data point suggests that participation may partially rebound without pushing unemployment higher.

The labor market also continues to be “not a source of inflationary pressure.” Wage growth cooled to just 3.1%YoY – consistent with price inflation at target.

Figure 5. The labor force participation rate ticked up in August



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

Figure 6. Wage growth has cooled back to a pre-pandemic pace



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

We are viewing next week's inflation report through the lens of Governor Waller's statement that he sees signs disinflation has resumed and that he plans to support leaving rates on hold absent a “hot” reading. Waller's statements speak directly to the upcoming policy decision and likely are consistent with the “center” of the committee including most governors and NY Fed President Williams. This contrasts

with Warsh's Jackson Hole Speech, which read hawkish but was explicitly not intended to give guidance regarding upcoming policy action.

It remains unclear what would qualify as a "hot" reading. Core CPI that rounds to 0.2%MoM (consistent with the 0.18%MoM we are forecasting) should be cool enough to keep the Fed on hold. A rounded 0.3%MoM is a closer call, but anything below 0.30%MoM core CPI would have the year-on-year reading declining which could still be consistent with a slowing inflation trend.

Waller's comments also dovishly highlighted the September 30th methodological revisions to PCE inflation which we project will bring core year-on-year down by 35bp. Given substantial uncertainty around details of new methodologies, revisions could bring down 0.25%MoM July core PCE to a rounded 0.1%MoM, making the three month trend look even more favorable. Waller seemed to suggest the possibility of larger revisions compared to what we have penciled in for portfolio management services specifically. Fed official awareness of these revisions makes us think that the summary of economic projections (SEP) at the September FOMC meeting will incorporate revisions which could drop the median Q4/Q4 '26 core PCE from 3.3% to below 3%.

Next Week – CPI to test the disinflation trend

Inflation data will be the primary focus next week. We expect 0.18%MoM August core CPI to show further moderation in underlying price pressures, with softer shelter inflation and limited pass-through from higher energy and transportation costs helping to keep core inflation contained. While higher gasoline prices could support a firmer headline reading, the broader message should remain one of easing core inflation.

The PPI report will also be closely watched, both as a guide to the CPI release and because several components are becoming increasingly important for tracking PCE inflation under evolving methodology changes. We expect producer price pressures outside of energy-related categories to remain generally moderate, reinforcing the broader disinflation narrative.

Beyond inflation, existing home sales are likely to remain subdued as elevated mortgage rates continue to weigh on housing demand despite improved inventory conditions. Preliminary September consumer sentiment is expected to remain weak amid affordability concerns and higher energy prices, although spending has so far shown resilience. Initial jobless claims should remain low, signaling limited layoffs, but broader labor market indicators continue to point to soft hiring conditions. Overall, next week's data should be consistent with an economy experiencing solid, if somewhat slower, growth and easing inflation pressures.

Veronica Clark

CPI MoM – Citi: 0.3%, median: 0.4%, prior: 0.1%

CPI YoY – Citi: 3.3%, median: 3.4%, prior: 3.4%

CPI ex Food, Energy MoM – Citi: 0.2%, median: 0.2%, prior: 0.2%

CPI ex Food, Energy YoY – Citi: 2.3%, median: 2.4%, prior: 2.5%

CPI Index NSA – Citi: 334.829, median: 334.964, prior: 333.918

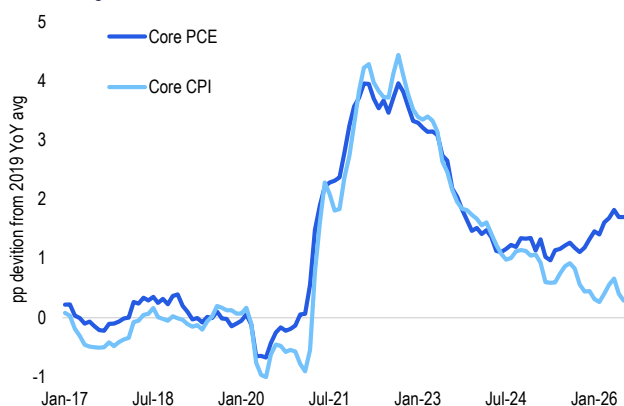
We expect a 0.184%MoM increase in core CPI in August, with base effects implying the year-on-year rate drops to 2.3% (but at 2.34% could easily round to 2.4%). This would be the lowest year-on-year reading for core CPI since core CPI jumped above 2% in April 2021.

Core goods prices should rise a modest 0.14%MoM, with still-limited signs of pass through from higher energy and transportation costs. We expect modest increases in furniture and apparel prices, but with downside risks to apparel in particular. Car prices could rise in line with usual residual seasonality, but recently falling wholesale used car prices keep us expecting upside to CPI used cars will be limited. There may still be some residual price increases captured in information technology goods (computers, etc) after a well-telegraphed late-June price increase of certain computers boosted this category in July.

We also expect overall modest services inflation in August. Most importantly, we expect renewed slowing in key shelter components, with a 0.24% increase in primary rents and a soft 0.19% increase in owners' equivalent rent. OER has sometimes (but certainly not all the time) been particularly soft in August in the past. Lodging away from home should rebound after recent large declines, although we expect the first drop in airfares (a modest -0.5%) since late-2025 despite still-elevated jet fuel prices. We expect modest increases in various services such as recreation services, personal services, and health care.

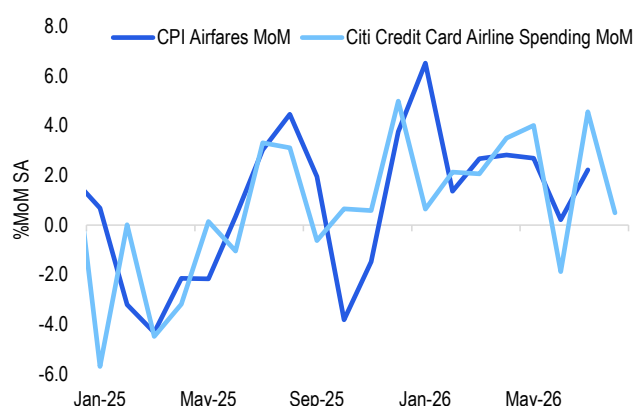
Importantly, the release of PPI data the day before CPI could help fine tune estimates for core CPI (see below), but especially for components of headline CPI. For now, we are penciling in a 0.3%MoM and 3.3%YoY increase in headline CPI due to rising average gas prices, but with risks of a stronger 0.4%MoM/3.4%YoY increase. This will likely be updated after PPI data.

Figure 7. Core CPI should slow to the softest annual pace since early 2021



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

Figure 8. We expect a modest decline in airfares in August



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

PPI Final Demand MoM – Citi: 0.5%, median: 0.4%, prior: 0.0%
PPI Final Demand YoY – Citi: 5.4%, median: 5.2%, prior: 4.7%
PPI ex Food, Energy MoM – Citi: 0.2%, median: 0.3%, prior: 0.2%
PPI ex Food, Energy YoY – Citi: 4.6%, median: 4.6%, prior: 4.2%
PPI ex Food, Energy, Trade MoM – Citi: 0.3%, median: 0.3%, prior: 0.4%
PPI ex Food, Energy, Trade YoY – Citi: 4.6%, median: NA, prior: 4.7%

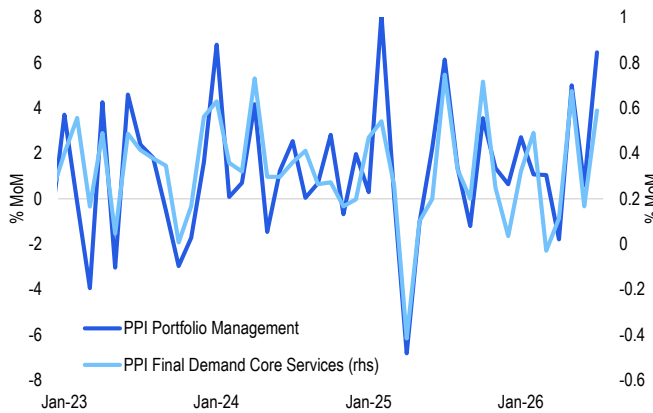
While CPI data will be the most important data release next week, PPI data for August will also take on increased importance for a number of reasons. Ultimately, we expect mostly moderate details outside of components impacted by higher energy prices, with a 0.3%MoM increase in core PPI that excludes food, energy, and trade services (but still could reflect some rising transportation services prices with higher diesel costs).

Some familiar components of PPI data will continue to be very important for PCE inflation tracking, namely various medical services and airfares. For now, we are penciling in a modest 0.22% increase in overall medical services and flat airfares. However, starting in August, new components of PPI will also become more important given upcoming methodology changes to PCE inflation. These include various legal services, PPI for gaming, and PPI for IT/hosting. It will likely take a number of months of data to understand how exactly these new PPI prices will factor into PCE. We also are watching some PPI components like jewelry prices for a signal of future PCE trends.

PCE inflation will no longer rely on PPI portfolio management fees, although this component in PCE may over time still be correlated with changes in asset prices (although it is not clear if this will be true for the initial release of PCE data). Importantly, the methodology for this component should only change for PCE prices – core services in PPI will likely still be heavily correlated to PPI portfolio management fees. After an abnormally large increase in portfolio management fees in July (abnormal relative to the increase in asset prices), there is a chance of a larger pullback in fees in August or some upcoming month.

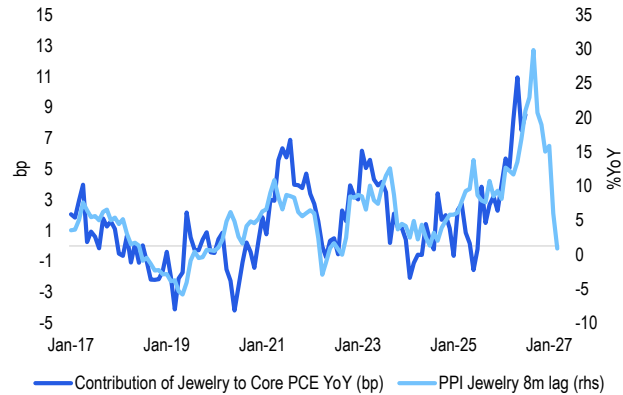
Lastly, PPI will be even more scrutinized this month as its release precedes very important CPI data. Certain energy components in PPI correlate very closely with energy components in CPI and will help fine tune headline CPI forecasts. Other components, such as car rentals, could also be helpful for updating core CPI expectations for August (our current forecast assumes -2%MoM SA car rentals in CPI). Airfares in PPI can also be correlated with airfares in CPI, especially if moves are substantial.

Figure 9. Portfolio management fees will still be a large driver of core PPI data



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

Figure 10. Jewelry prices in PPI have been a leading indicator of these prices in CPI/PCE

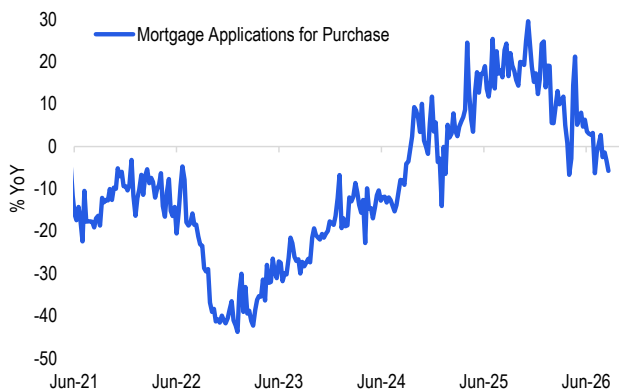


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, BLS

Existing Home Sales – Citi: 4.08m, median: 3.99m, prior: 4.06m
Existing Home Sales MoM – Citi: 0.4%, median: -1.6%, prior: -1.7%

Existing home sales should be little changed in August, rising from 4.06 million (SAAR) in July to 4.08 million. Home sales have moved mostly sideways in a range around 4 million through the past 3-4 years – an historically low level of sales compared to the pre-pandemic period. A few years ago, low sales partly reflected constraints of housing supply, with the number of homes for sale very low. But within the last few years, still-low sales increasingly reflect weak demand, as the number of homes for sale has largely reattained pre-pandemic levels. As longer-end yields have moved higher in recent months, elevated mortgage rates have further weighed on demand. High frequency data, such as weekly data on mortgage applications filed for home purchases and pending home sales, show a renewed slowing in housing activity in recent weeks. Weak home sales (and some recently weaker construction data) suggest residential investment will remain soft in Q3 GDP.

Figure 11. Housing demand has weakened again in recent high frequency data



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Figure 12. Consumers are not acting like they expect high inflation



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NAR

Source: Citi Research, University of Michigan

U. of Mich Sentiment – Citi: 51.0, median: 51.0, prior: 51.7
1-year Inflation Expectations – Citi: 4.2%, median: NA, prior: 4.0%
5-10 year Inflation Expectations – Citi: 3.4%, median: NA, prior: 3.3%

We expect a modest further decline in University of Michigan consumer sentiment in preliminary September data, to 51.0. This could correspond with a slight increase in inflation expectations even elevated energy prices with the ongoing conflict in the Middle East. Overall soft consumer sentiment has not been a helpful determinant of consumer spending over the last few years, with spending remaining largely resilient. However, the same factors that could weigh on sentiment, like elevated gas prices, have also recently weighed on real income growth. While high gas prices have not obviously detracted from spending over the last few months, resilience in spending may have been a consequence of larger tax refunds this year helping to support spending. The headwinds to spending from higher gas prices could grow as the effect of tax refunds fade.

A softer consumer backdrop is also evident details of survey data, such as an elevated share of consumers saying it is a bad time to buy household goods because of affordability issues. We think this softer demand backdrop will continue to mean limited ability for businesses to pass on higher input costs to final selling prices.

Initial Jobless Claims – Citi: 202k, median: NA, prior: 206k
Continuing Claims – Citi: 1764k, median: NA, prior: 1779k

Initial jobless claims should remain at very low levels, declining modestly to 202k for the week of September 5. Continuing claims should fall to 1764k. While we would note that the next few weeks of claims data have potential to be impacted by the Labor Day holiday, the recent modest increase in claims has been less than in previous years. A still-lower level of claims compared to a year ago could reflect fewer layoffs and/or greater hiring. But with continuing claims largely moving sideways in recent months, we are cautious that hiring trends remain weak after some temporary pick-up around the spring. Rather, the very low level of claims could be a consequence of an overall smaller labor force, with fewer people to file for unemployment benefits. We will be watching the trend of claims relative to a year ago as a signal of when the downward pressure on labor force participation from demographic forces may stabilize.

Fed Monitor

Figure 13. FOMC ranked from hawkish to dovish

Name	Position	2026 Voter	2027 Voter	2028 Voter	Term Exp.
Hammack	Cleveland Fed	Y	N	Y	2031
Logan	Dallas Fed	Y	N	N	2031
Schmid	Kansas City Fed	N	N	Y	2031
Musalem	St Louis Fed	N	N	Y	2031
Barkin	Richmond Fed	N	Y	N	2028
Venable*	Atlanta Fed	N	Y	N	interim
Barr	Board of Governors	Y	Y	Y	2032
Kashkari	Minneapolis Fed	Y	N	N	2031
Goolsbee	Chicago Fed	N	Y	N	2031
Collins	Boston Fed	N	N	Y	2031
Powell	Board of Governors	Y	Y	Y	2028
Jefferson	Board of Governors	Y	Y	Y	2036
Waller	Board of Governors	Y	Y	Y	2030
Warsh	Board of Governors (Chair)	Y	Y	Y	2030
Paulson	Philadelphia Fed	Y	N	N	2031
Cook	Board of Governors	Y	Y	Y	2038
Daly	SF Fed	N	Y	N	2028
Williams	New York Fed	Y	Y	Y	2031
Bowman	Board of Governors	Y	Y	Y	2034

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

* Venable is a temporarily representing Atl Fed at Fed meetings until a new President has been chosen.

Source: Citi Research

Figure 14. Who's who in the Jun FOMC Dot Plot, in our view

	2026	2027
4.375	Schmid	Schmid
4.25		
4.125	Hammack, Logan, Musalem, Barkin, Kashkari	Hammack, Musalem
4		
3.875	Atl Fed*, Collins, Goolsbee	Barkin, Atl Fed, Kashkari, Goolsbee, Logan
3.75		
3.625	Daly, Paulson, Waller, Powell, Jefferson, Barr, Cook, Williams	Williams, Collins
3.5		
3.375	Bowman	Jefferson, Barr, Cook
3.25		
3.125		Powell, Waller, Daly, Paulson
3		
2.875		
2.75		Bowman

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

*Venable is a temporarily representing Atl Fed at Fed meetings until a new President has been chosen.

Source: Citi Research

Figure 15. Citi Policy Rate Forecast

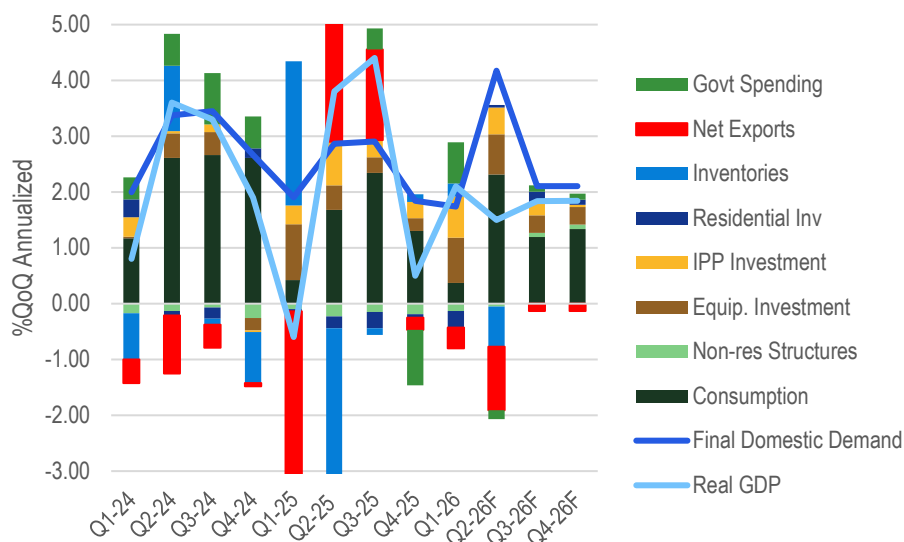
Fed Meeting	Citi Forecast	
	Policy Range	Change
16-Sep-26	3.5-3.75	0
28-Oct-26	3.25-3.5	-0.25
9-Dec-26	3.0-3.25	-0.25
27-Jan-27	2.75-3.0	-0.25
17-Mar-27	2.75-3.0	0
28-Apr-27	2.75-3.0	0
9-Jun-27	2.75-3.0	0
28-Jul-27	2.75-3.0	0
15-Sep-27	2.75-3.0	0
27-Oct-27	2.75-3.0	0
8-Dec-27	2.75-3.0	0

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research

GDP Tracking

We expect a 1.8% increase in Q3 2026 real GDP.

Figure 16. GDP growth tracking



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Bureau of Economic Analysis

Figure 17. Q3 2026 GDP forecast and contributions

Component	Citi		Atlanta Fed	
	As Of Sep-04	1wk chg	As of Sep-01	1wk chg
Consumption	1.2	0.0	2.4	0.3
Business Structures	0.1	0.0	0.1	0.0
Business Equipment	0.3	0.0	1.2	0.1
IPP	0.2	0.0	0.4	0.0
Residential	0.2	0.0	-0.1	0.1
Final Private Domestic Demand	2.0	0.0	3.9	0.5
Inventories	0.0	0.0	2.1	0.0
Government	0.1	0.0	0.2	0.0
Net Exports	-0.1	0.0	-1.3	0.0
GDP (QoQ SAAR)	1.8	0.0	4.8	0.4

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Atlanta Fed

Inflation Forecasts

Figure 18. Citi 12-month Inflation forecasts versus market pricing

Month	Market Pricing			Citi Forecasts					
	CPI NSA Index	CPI YoY	Implied Core*	CPI NSA Index	CPI YoY	Core CPI YoY	Core CPI MoM (SA)	Core PCE YoY	Core PCE MoM
Aug-26	334.970	3.4	0.25	334.829	3.3	2.4	0.184	3.3	0.194
Sep-26	336.190	3.5	0.50	335.449	3.3	2.3	0.164	3.3	0.218
Oct-26	336.200	3.3	0.21	335.050	#N/A	#N/A	0.134	3.3	0.158
Nov-26	335.660	3.6	0.28	334.077	3.1	2.3	0.122	3.2	0.144
Dec-26	335.610	3.6	0.26	333.734	3.0	2.2	0.141	3.1	0.168
Jan-27	336.730	3.5	0.22	334.780	2.9	2.2	0.214	2.9	0.269
Feb-27	337.890	3.4	0.19	335.906	2.8	2.2	0.218	2.7	0.253
Mar-27	339.320	2.8	0.20	337.223	2.1	2.1	0.161	2.6	0.183
Apr-27	340.280	2.2	0.25	337.994	1.5	1.9	0.155	2.5	0.177
May-27	341.270	1.8	0.32	338.692	1.1	1.9	0.172	2.3	0.160
Jun-27	342.073	2.4	0.22	339.185	1.6	2.0	0.172	2.4	0.160
Jul-27	342.621	2.6	0.26	339.301	1.6	2.0	0.179	2.3	0.166
Aug-27	343.214	2.5	0.25	339.690	1.5	2.0	0.179	2.2	0.166

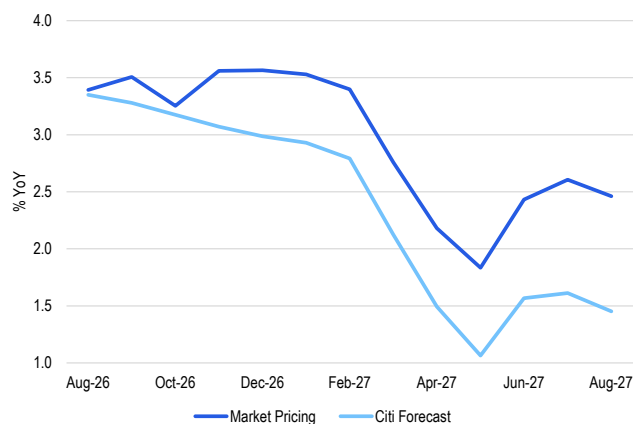
*market implied core CPI using Citi assumptions for energy, food, seasonal factors as of

3-Sep

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

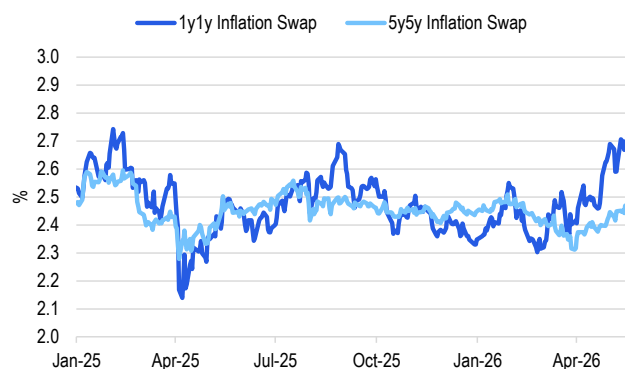
Source: Citi Research, Bloomberg

Figure 19. Citi CPI forecast versus market pricing



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research

Figure 20. Market forward inflation pricing



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research

Figure 21. Economic Indicators forecast

		2026F	2027F			2026				2027			
						Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	%Avg YoY	2.0	1.8	%QoQ Ann		2.1	1.5	1.8	1.8	1.8	1.8	1.8	1.8
Consumption	%Avg YoY	2.1	2.1	%QoQ Ann		0.5	3.4	1.7	1.9	2.1	2.1	2.1	2.1
Business Equip. Investment	%Avg YoY	9.3	4.2	%QoQ Ann		15.8	13.6	5.0	5.0	3.0	3.0	3.0	3.0
Business IPP	%Avg YoY	8.0	1.3	%QoQ Ann		13.8	8.8	3.0	0.5	0.5	0.5	0.5	0.5
Business Structures	%Avg YoY	-3.3	2.7	%QoQ Ann		-4.7	-1.8	3.0	3.0	3.0	3.0	3.0	3.0
Residential Investment	%Avg YoY	-2.9	2.7	%QoQ Ann		-7.8	1.2	2.0	3.0	3.0	3.0	3.0	3.0
Final Private Domestic Demand	%Avg YoY	2.5	2.2	%QoQ Ann		1.7	4.2	2.1	2.1	2.1	2.1	2.1	2.1
Government	%Avg YoY	0.2	0.6	%QoQ Ann		4.4	-1.0	0.7	0.7	0.7	0.7	0.7	0.7
Exports	%Avg YoY	4.5	3.1	%QoQ Ann		10.9	4.5	3.0	3.0	3.0	3.0	3.0	3.0
Imports	%Avg YoY	2.6	3.6	%QoQ Ann		11.8	12.5	3.0	3.0	3.0	3.0	3.0	3.0
Inventories	pp cont.	-0.3	0.0	pp cont.		0.2	-0.7	0.0	0.0	0.0	0.0	0.0	0.0
Headline PCE Deflator	%Avg YoY	3.6	2.2	%Avg YoY		3.1	3.9	3.7	3.5	2.9	2.1	1.9	1.9
Core PCE Deflator	%Avg YoY	3.3	2.4	%Avg YoY		3.1	3.4	3.3	3.2	2.8	2.4	2.2	2.2
Core CPI	%Avg YoY	2.5	2.1	%Avg YoY		2.5	2.7	2.4	2.3	2.2	1.9	2.0	2.2
Headline CPI	%Avg YoY	3.2	1.8	%Avg YoY		2.7	3.8	3.3	3.0	2.6	1.4	1.5	1.6
Average Hourly Earnings	%Avg YoY	3.2	2.8	%Avg YoY		3.6	3.4	3.1	2.7	2.7	2.8	2.9	2.9
Unemployment Rate	Avg %	4.5	4.3	Avg %		4.3	4.3	4.7	4.6	4.5	4.3	4.2	4.2
Monthly payroll growth	(1,000s) avg.	51.3	50.0	(1,000s) avg.		72.7	77.0	5.7	50.0	50.0	50.0	50.0	50.0
ISM Manf	Avg	52.5	52.0	Avg		52.6	53.3	52.2	52.0	52.0	52.0	52.0	52.0
Policy Range	% EOP	3.0-3.25	2.75-3.0	% EOP		3.5-3.75	3.5-3.75	3.5-3.75	3.0-3.25	2.75-3.0	2.75-3.0	2.75-3.0	2.75-3.0

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Bloomberg

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Inc.

Andrew Hollenhorst; Veronica Clark

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

European regulations require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. Please refer to the trade history in the published research or contact the research analyst.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q2 2026 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.5% (87%); Q1 2026 Buy 33% (63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33%(61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates. Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not

intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia : This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für
tunsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity

that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is 26657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at https://www.citivelocity.com/rendition/_/eppublic/V1/file?paramData=L0dETVMvcHVjVXNlLmh0bWw

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/tList.xml&divisionId=MDISO300200200000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a

licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and ties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für tungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage

holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information (e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST
